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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Sales Growth Before Capex

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Last Week's S&P 500 Index: +1.2%

Key takeaways

» *While there has been a rise in business capital spending this year, some have expected a larger increase.*

» *Prior to committing to larger outlays for capital spending, most businesses want to see what they think is a sustained increase in sales.*

Imagine if a business owner told you that he or she was going to expand their facility, purchase new equipment, and hire a bunch of additional workers simply because the government had lowered individual tax rates (temporarily) and increased the depreciation rate on purchased equipment (temporarily). In other words, this business owner would have to believe that those changes would lead to sales (revenue) growth and then place a bet with real money based on that belief.

Where any financing, if needed, would come from for these projects is a topic for another issue of this weekly piece, but suffice it to say most creditors would likely need to see some indication that sales are indeed picking up before granting the request for funding. Of course, big multinational corporations (think S&P 500 constituents) with cash parked overseas are in a bit of a different spot. They were given an incentive to bring some of that money home. The theory was that those homeward-bound funds would fuel a capital-spending binge in the U.S. Depending on your definition of "binge," that did happen to some extent in the first half of this year as the data show, but the repatriation of overseas funds also led to a bigger wave of share buybacks, something we suspect the minority party will highlight between now and the November midterm elections.

But in this strategist's opinion, and based on some historical perspective, firms boost their capex (capital expenditures) for expansion, new equipment, and hiring after they see an increase in revenue that they believe will continue for the foreseeable future or even accelerate as time goes on. But the pump is primed as small business confidence just hit an all-time record high in August. Recall that business (and consumer) confidence soared after the 2016 elections, but it took some time before business and consumer spending picked up noticeably.

You would not expect businesses to immediately dive into an increased capital spending campaign just because there is a tax benefit to do so. New equipment, expansion, and additional workers do not do much good if sales are not increasing. Consumer spending is what drives the U.S. economy. Consistently increasing consumer spending eventually leads to bottlenecks and capacity constraints in other parts of the economy like manufacturing and services. These bottlenecks and capacity constraints "force" companies to buy new equipment and hire more people to meet increased demand for their goods and services.

The Industrials sector, which we favor, is one of the main beneficiaries of increased capital spending in the domestic (and international) economy. This sector typically outperforms the S&P 500 Index in the mid-to-later stages of a cycle when the economy is humming and production capacity and the labor market are tight. Industrial sector products and services help businesses expand to meet growing demand after any spare capacity seen earlier in the cycle is absorbed. The bottom line is, in most instances, businesses want to see increased sales before capex kicks in.

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